

# Fool's Paradise

*What is the cost of hope?*

An Essay on Speculation in India's Derivatives Markets

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*Against stupidity the gods themselves contend in vain*

Friedrich Schiller

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## *Heaven Befallen*

Derivatives were not born out of greed. They were born out of necessity. They emerged from uncertainty that could not be ignored, from lives and businesses exposed to forces beyond control. A farmer facing unpredictable harvests, a merchant navigating volatile prices, a company dealing across currencies, each sought not advantage but stability. The derivative was simply a way to draw a boundary around risk, to make the future a little less fragile. At their core, they are simple. Contracts whose value is derived from something else, reflections rather than sources. They do not create meaning on their own, they inherit it. There is a quiet elegance in that, a sense that they were never meant to dominate the system but to support it from the edges, absorbing shocks and redistributing uncertainty so that the visible economy could function with greater ease. But tools rarely remain confined to their original purpose. Over time, the same structures that allowed risk to be managed began to invite risk to be pursued. What once offered protection also offered possibility. Leverage made this shift inevitable. With a small amount of capital, one could control something much larger, creating a sense of scale that felt almost unreal. Time itself seemed to compress, as outcomes that once required patience could now unfold rapidly, sometimes within hours. And within this compression, perception began to change.

Losses appeared limited, contained within the cost of entry, while gains stretched outward into imagination, unconstrained and compelling. This imbalance did not just exist in numbers, it reshaped how decisions were felt. Probability became less tangible, less immediate, while possibility grew vivid and persuasive.

The modern derivatives market, especially in India, has expanded quickly, opening itself to a new class of participants. Accessibility has lowered barriers, platforms have simplified complexity, and what was once the domain of professionals has become available to anyone willing to engage. But access does not equal understanding.

Because derivatives do something few instruments do. They do not just transfer risk, they transform how individuals perceive it. A small premium feels insignificant, a large payoff feels within reach, and the distance between the two becomes easy to overlook. Time horizons shrink, decisions accelerate, and emotion begins to occupy space once held by discipline. This shift is gradual, almost invisible at first. The purpose evolves quietly. From hedging, which seeks stability, to speculation, which seeks movement. From managing risk to chasing outcomes. The change does not announce itself, it reveals itself through behavior. And eventually, what began as a tool begins to feel like a game.

A game shaped by asymmetry, speed, and the constant tension between fear and expectation. It attracts players not only because of what it offers, but because of how it feels. The sense of control, the immediacy of feedback, the possibility of outsized outcomes, all combine to create an experience that extends beyond finance into something more psychological.

In the end, derivatives remain unchanged in their nature.

They are still instruments, still mechanisms for transferring risk. But the way they are used, and the way they are experienced, tells a different story. They reflect not just the market, but the mind engaging with it. And somewhere in that reflection, the line between tool and temptation begins to blur.

## *Snakes and Fools in Paradise*

Not all players in the market are the same. Some come to manage risk, others come to take it, and the distinction, though simple on the surface, runs deep into how each participant sees the market and their place within it. On one side stand institutions, proprietary traders, foreign investors, algorithmic desks, operating within carefully constructed frameworks that prioritize consistency over impulse. Their decisions are shaped by models, by data that extends far beyond what is visible on a screen, by systems that execute without hesitation and without emotion. For them, the market is not a stage for conviction but a field of probabilities, something to be measured, tested, and repeated. On the other side is the individual trader, standing alone in a far more immediate relationship with the market. Armed with a screen, a chart, and a sense of belief, he engages directly with price, interpreting movement in real time, often without the structural support that defines institutional participation. His decisions are not only analytical but also personal, influenced by perception, by experience, by the quiet but persistent pull of expectation. The difference between the two is not merely capital, though capital does matter. It is structure, the presence or absence of a system that governs behavior even when emotion begins to rise. And over time, outcomes begin to mirror this difference with unsettling clarity. Data from the Securities and Exchange Board of India reveals a stark reality. Over ninety three percent of individual traders in the equity derivatives segment incurred losses between FY22 and FY24, with aggregate losses exceeding one point eight lakh crore rupees. The average loss per trader stood at around two lakh, while only a very small fraction, roughly one percent, managed to generate meaningful profits. In contrast, institutional participants, particularly those operating with algorithmic strategies, demonstrated a level of consistency that is difficult to dismiss as coincidence. This is not randomness unfolding across the market. It is structure expressing itself through outcomes, repeating quietly but persistently. What is perhaps even more striking is not the scale of the losses, but the persistence of participation. Despite repeated setbacks, a large number of traders continue to return, to re engage, to place themselves once again within the same system that has already delivered unfavorable results.

The game is not abandoned.

And this persistence invites a more uncomfortable question, one that moves beyond numbers and into behavior. If outcomes are so heavily skewed, why does participation not decline in proportion?

Because what exists here is not just a market in the traditional sense. It is an ecosystem, one that sustains itself through continuous activity, where different participants derive value in different ways.

Brokers benefit from volume, from the sheer frequency of trades that pass through their systems. Platforms benefit from engagement, from the constant presence of users interacting with their interfaces. Content creators benefit from attention, from the endless demand for insight, prediction, and interpretation.

And at the center of this interconnected structure stands the individual trader, moving through it, contributing to it, shaped by it.

He is not necessarily unaware of the odds. The data exists, the outcomes are visible, the patterns are not hidden. And yet, awareness alone does not dissolve participation.

Because beneath the logic of the market lies something far less rational and far more enduring.

He continues to play not simply because he does not know, but because he believes.

## *Loser's Ball*

To understand the retail trader, one must move away from spreadsheets and into behavior, into the quieter space where decisions are not just calculated but felt, where numbers lose their sharp edges and begin to blur into experience. Because the numbers alone do not explain persistence. Retail participation in derivatives often begins to resemble gambling, not in its formal structure but in its psychological texture. Losses, when small, are absorbed with surprising ease, almost dismissed as part of the process, while wins, even if rare, expand in memory, taking on a weight far greater than their actual impact. Over time, memory itself becomes selective, gently reshaped to preserve hope. A single profitable trade can come to overshadow weeks of losses, not logically, but emotionally, and in that emotional accounting, the trader finds a reason to continue. This is not accidental. Human beings are drawn, almost instinctively, to outcomes that resemble lotteries, where the probability is low but the reward is large enough to justify the attempt. Derivatives, especially options, align perfectly with this inclination. They offer a structure where the downside appears contained, clearly defined, while the upside stretches outward into possibility, open ended and enticing. It stops feeling like trading in the traditional sense. It begins to feel like access to something larger, something that could change the trajectory of outcomes with a single decision. Social dynamics deepen this effect in ways that are subtle yet powerful. The rise of financial influencers, trading communities, and constant online discourse creates an environment where visibility is uneven. Success is shared, amplified, repeated. Losses, by contrast, recede into silence. What remains visible is a curated reality, one that suggests that winning is not only possible but frequent. Comparison emerges naturally in such an environment, and with it, a quiet pressure. One does not simply trade to make money. One trades to not feel left behind. There is also the enduring illusion of control. Strategies are built, indicators are layered, systems are refined, each adding a sense that outcomes can be shaped through effort and precision. When losses occur, they are rarely attributed to the structure of the market itself. Instead, they are internalized as errors of execution, as something that can be corrected. And so the response to loss is not withdrawal. It is adjustment, a recalibration of approach, a belief that the next attempt, slightly modified, will produce a different result. This belief sustains engagement, even when evidence begins to accumulate in the opposite direction. Another trade follows. And then another.

Over time, the behavior settles into a cycle that feels almost inevitable in hindsight. A loss creates the urge to recover, recovery demands greater risk, and greater risk, when it fails, deepens the loss. Each step feels justified in the moment, each decision appearing reasonable within its immediate context, yet together they form a pattern that is difficult to escape.

The market, in this sense, does not need to actively defeat the trader.

The structure remains indifferent, unchanged.

It is the interaction between that structure and human behavior that produces the outcome.

Not because the trader lacks intelligence or intent, but because he is operating within tendencies that are deeply ingrained, predictable in their expression, and remarkably consistent across individuals. He is not irrational. He is, in a very real sense, human.

## *Waltzing with the Devil*

If retail traders chase hope, institutions price it. This is the quiet asymmetry that sits beneath the surface of the derivatives market, rarely acknowledged directly, yet constantly shaping outcomes. Institutional participants do not approach derivatives as a space for blind speculation. Their engagement is structured, deliberate, and governed by frameworks that exist long before a trade is ever placed. Risk models define exposure, position sizing constrains behavior, and statistical edges, however small, are pursued with discipline and repetition. The objective is not to win occasionally, but to construct a process that can endure, one that produces consistency rather than moments of fortune. More importantly, they understand that every trade exists within a relationship. Every option buyer requires a seller. Every position is mirrored by a counterparty. And in many cases, that counterparty is not neutral. It is often better informed, better equipped, and operating with a speed that makes reaction feel almost irrelevant. What appears to the individual trader as an isolated opportunity is, to the institution, part of a broader pattern, a flow of behavior that can be observed, measured, and, at times, anticipated. Algorithmic trading sits at the center of this dynamic. A significant share of institutional profit is not derived from intuition, but from automated systems that operate across vast datasets, responding to microstructure signals, liquidity shifts, and price inefficiencies in fractions of a second. These systems do not hesitate, do not second guess, and do not deviate from their design. There are also quieter edges, less visible but equally important. Pricing gaps, temporary inefficiencies, and imbalances in liquidity create opportunities that are rarely apparent without the tools to detect them. Retail flow itself becomes a signal in certain contexts, not in an exploitative sense, but as a behavioral pattern that can be studied and incorporated into strategy. The retail trader sees opportunity in price movement. The institution often sees something deeper, the structure behind that movement, the flow that precedes it. One reacts to what has already happened. The other attempts, however imperfectly, to anticipate what is likely to happen next. And yet, it would be too simple, and ultimately incorrect, to frame institutions as reckless participants operating without regard for consequence. They do not step into risk blindly. Their engagement with the market is defined by an awareness of exposure that is both continuous and quantified. They measure risk with precision. They distribute it across positions and time. They hedge it when necessary, accepting smaller costs to avoid larger uncertainties. Retail traders, by contrast, often face the same underlying risks, but without access to the same instruments of control. The exposure is real, the volatility is shared, but the ability to manage it is uneven. The result is not injustice in the moral sense. It is imbalance in the structural sense.

The market does not promise equal outcomes to all who enter. It does not adjust itself to ensure fairness across participants with vastly different levels of preparation, capital, and capability. What it offers instead is access, the ability to participate, to engage, to take a position within a system that remains indifferent to intent.

And it is within that participation that divergence begins.

Because the market, in its design, does not determine who wins or loses.

It reveals, over time, the difference between those who are reacting to it and those who have learned, in some measure, to understand it.

## *The Cost of Hope*

In the end, one can't help but wonder, why does the common man engage in this *debauchery*? The data clearly says he will lose, yet, in spite of knowing this, he opens his broking app with the aspiration of hitting that "golden trade". Why? One word. Hope. The second most contagious disease known to man, after *love*. He hopes. Hopes that one trade will cover all his losses. Hopes that his winning *spree* will continue. Hopes that he will win against the big guys.

This work is futile. Meaningless even. How can you understand hope? You cannot. One cannot rationalize the irrational.

What is the cost of hope? Hope itself.